



economies of scale.

Maruti Suzuki, the manufacturer with the highest market share in India, has already made an entry into this segment with the Ciaz hybrid model. The company intends to enter the EV segment as well, to benefit from the FAME scheme. The chairman of Softbank has stated that his organisation plans to donate 100,000 EVs to Ola, as a part of its investment in the organisation. Even if 25,000 EVs get onto Indian roads, it would lead to a better understanding of the new category, considering the wide presence of Ola. These are some of the leading indicators that augur well for the sector.

How companies are monetising the opportunities at hand is a question that needs deeper understanding. India has one of the highest import duties on finished goods. That's a huge deterrent for firms like Tesla. Unlike other cars in the EV segment, Tesla is one of the only firms to offer a driving experience very similar to petrol/diesel cars. Being able to zoom from 0 – 100km/hr in 3 – 4 seconds, is currently unheard of among electric cars, though Tesla promises this. Currently, the challenge before Elon Musk is to replicate such advanced engineering on Indian soil, since import duties will make importing a semi knocked down version from California too expensive for Indian consumers. Recent reports suggest that Musk's meetings with the government have gone positively and so, maybe the new EV policy will have some concessions for companies to initially import directly before they join the Make in India campaign.

## The challenges prior to making the Big Leap

Unlike traditional vehicles, the EV market has to overcome different obstacles. It needs a different value chain and the relevant infrastructure, such as charging stations, etc. The biggest challenge is consumer perception towards its practicality, functional advantages, cost/return on investment, convenience, travel range, and charging infrastructure. Any policy that the government makes must first try to address the consumer issues before it addresses the industry issues. To succeed in the current environment, OEMs will need to evolve and understand the value of the changing

mobility market. Another factor would be the convergence of technologies and technology providers – gone are the days of single auto giants enjoying market hegemony; today, it's all about collaboration.

Accenture has recently come out with a very well drafted report, which offers a global perspective on the EV market, as well as a view on emerging markets like India where the potential

No. 2 in terms of growth rate. That's a mouth-watering opportunity for most vehicle manufacturers. And with the commitment that is being shown by the government to promote the adoption of EVs, the time is ripe for the industry to respond to the changing dynamics. The government has proposed to get going by setting up infrastructural avenues which can propel the mission forward. It has plans for setting up battery charg-



Figure 2: Elements of India's mobility transformation

Source: RMI Report for Niti Aayog on eMobility

to grow is enormous. According to this report, the key drivers for any plan to succeed are:

- Government regulations and subsidies
- Integration of EVs within the product portfolios of OEMs
- Collaboration within the e-mobility value chain
- Relevant charging infrastructure
- Raising customer awareness about the benefits of e-mobility
- Projecting the concept of e-mobility as 'leadership is innovation and environmental consciousness'
- Adjustment of core operations and processes

Another important aspect for India to consider would be our long-term electricity production capacity, which is currently not in a very reassuring state. That's why we need to look at other renewable sources to generate power, which can drive the creation of supporting infrastructure.

## The future of e-mobility in India

India is the fifth largest passenger vehicle market in the world, and ranks

ing units on a large scale, starting from 2018 – some with private partnerships. Research findings from the RMI and Niti Aayog study reveal that the key drivers for India's EV mission can be split into three parts – systems integration, shared infrastructural development and scaled manufacturing (Figure 2). If all three work well, the future of India's e-mobility sector looks bright.

The question I would like to put to business leaders who aspire to grow faster is: Isn't e-mobility a segment that you can look at investing in now? Or will you still wait before taking the plunge. Think and decide, as brands today can be built faster than they could 25 years back. Maybe this is your time to invest and claim your share of the market.

I look forward to reading your comments/feedback at [editsec@efy.in](mailto:editsec@efy.in).

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